Business Environment & Ethics - Set 5

50 MCQs - 1 mark each - answers and explanations are at the end

> Choose the single best option. Do not look at the last pages until you finish.

1. World Consumer Rights Day is observed on
A. 24 December
B. 15 March
C. 1 May
D. 5 June

2. Extended Producer Responsibility makes producers responsible for
A. Collecting and safely disposing of post-consumer waste
B. Paying employees
C. Filing tax returns
D. Advertising

3. Replacing single-use plastic packaging with biodegradable material reflects
A. Cost increase only
B. Marketing gimmick
C. Legal evasion
D. Environmental sustainability

> **Case:** Three Countries, Three Systems: In Country X, private firms own most resources and prices are set by markets with little state interference. In Country Y, the state owns all factories and plans output centrally. In Country Z, private and public enterprises operate side by side and the government regulates key sectors, as in India.

4. Country Z is best described as a:
A. Mixed economy
B. Capitalist economy
C. Socialist economy
D. Traditional economy

> **Case:** Bharat Steels Ltd and CSR: Bharat Steels Ltd had a turnover of Rs. 1,200 crore this year. Its net profits for the last three years averaged Rs. 70 crore, and this year's net profit was Rs. 80 crore. The board is deciding how to meet its CSR obligations under the Companies Act, 2013, and is considering several proposals.

5. Which proposal is eligible as a CSR activity under Schedule VII?
A. Funding a rural drinking water project
B. A donation to a political party
C. A festival bonus for employees
D. An advertising campaign for its steel

> **Case:** Industrial Planning in the 1950s: A researcher studying Indian industry in the 1950s finds that the state set up steel plants through public sector companies, required private firms to obtain licences under the Industries (Development and Regulation) Act, 1951, and followed Five-Year Plans. The Industrial Policy Resolution of 1956 divided industries into three schedules, and the Second Plan stressed heavy industry.

6. The body that formulated the Five-Year Plans until 2014 was the:
A. NITI Aayog
B. SEBI
C. Election Commission
D. Planning Commission

> **Case:** Riverside Textiles: Riverside Textiles discharges untreated dye effluents into a river. Fish die and villagers fall ill. The state pollution control board files a case. The company is told that it must bear the cost of cleaning up, and the matter is taken up by a specialised tribunal for environmental disputes.

7. Discharging untreated effluents into a river most directly violates the:
A. Sale of Goods Act, 1930
B. Water (Prevention and Control of Pollution) Act, 1974
C. Competition Act, 2002
D. Payment of Bonus Act, 1965

> **Case:** The Factory and the Village: An Ethical Dilemma: A factory provides jobs to 5,000 workers but its fumes harm 500 nearby villagers. Manager A says the decision should aim at the greatest good for the greatest number. Manager B says harming people is wrong whatever the outcome. Manager C asks what a person of good character would do in this situation.

8. Manager B's reasoning follows:

A. Utilitarianism
B. Virtue ethics
C. Cost-benefit analysis
D. Kantian (deontological) ethics

> **Case:** India in 1991: In 1991, India's foreign exchange reserves had fallen so low that they could barely pay for a few weeks of imports. The government pledged gold, devalued the rupee and launched sweeping economic reforms. The reforms were led by Prime Minister P. V. Narasimha Rao and his Finance Minister.

9. The package of reforms launched in 1991 is known as:

A. The Green Revolution
B. The White Revolution
C. Operation Flood
D. LPG reforms (Liberalisation, Privatisation, Globalisation)

10. Illegal non-payment or under-payment of tax is called

A. Tax avoidance
B. Tax evasion
C. Tax planning
D. Tax saving

> **Case:** Greenleaf Stationery, Thrissur: Greenleaf Stationery is a small shop near several schools. Its main customers are the schools; its paper wholesaler is its key supplier; and an online seller is a new competitor. The owner has also noticed that a change in GST rates altered prices, a national slowdown cut household spending, and the growth of digital learning is reducing paper use.

11. The paper wholesaler is part of the shop's:

A. Macro environment only
B. Micro environment
C. Internal environment only
D. Natural environment

> **Case:** Hindustan Hotels: A Public Sector Sale: The government decides to sell its majority stake in Hindustan Hotels Corporation, a loss-making public sector firm, along with management control, to a private company. The government says the aim is to raise funds and improve efficiency. A different public sector undertaking, in atomic energy, remains under state control.

12. The atomic energy undertaking remaining with the state is because:

A. It is a loss-making sector
B. Private firms are not interested in any sector
C. The law bans all privatisation
D. Atomic energy continued to be reserved for the public sector

13. In 1962 US President John F. Kennedy declared the original ___ basic consumer rights.

A. Six
B. Four
C. Eight
D. Ten

14. Extended Producer Responsibility (EPR) makes producers responsible for

A. Employee wages
B. Tax payments
C. Advertising costs
D. Collection and safe disposal of their products' post-consumer waste

15. Internal environment factors are generally

A. Beyond any control
B. Controlled by the government
C. Controlled by competitors

D. Controllable by management

16. Monetary policy in India is formulated by the
A. SEBI
B. NITI Aayog
C. Competition Commission of India
D. Reserve Bank of India

17. Which of the following is a voluntary consumer organisation in India?
A. Consumer Guidance Society of India
B. Reserve Bank of India
C. Competition Commission of India
D. Central Pollution Control Board

18. Greater private participation in education and healthcare after reforms has raised concerns about
A. Affordability for poorer sections
B. Complete free access
C. Absence of private schools
D. Closure of hospitals

19. A key benefit of business ethics for a firm is
A. Guaranteed profits
B. Freedom from taxes
C. Improved reputation and customer trust
D. Elimination of competition

> **Case:** Lotus Retail's Procurement Head: The procurement head at Lotus Retail is offered a luxury holiday by a supplier who is bidding for a large contract. The head knows the supplier's prices are higher than those of other bidders. The company's code of conduct requires employees to avoid personal gain from business dealings.

20. Refusing the offer would show the value of:
A. Integrity
B. Profit maximisation
C. Brand loyalty
D. Risk taking

21. The Copyright Act, 1957 protects
A. Inventions
B. Brand names
C. Original literary, artistic and musical works
D. Company registration

22. An auditor's report must be
A. Approved by management first
B. Hidden from shareholders
C. Altered to please management
D. Independent and truthful

23. Price-fixing cartels and predatory pricing are unfair because they
A. Help consumers
B. Harm competition and consumers
C. Lower prices permanently
D. Improve quality

24. Green marketing means
A. Selling green vegetables
B. Marketing in forests
C. Advertising on green paper
D. Promoting products on the basis of their environmental benefits

25. Money earned through illegal activities or on which tax has not been paid is commonly called
A. White money
B. Blue money

C. Green money
D. Black money

> **Case:** Aarav Pharma: Shareholders versus Stakeholders: At the annual meeting of Aarav Pharma, some shareholders argue that the firm's only duty is to maximise profit within the law. The CEO disagrees, saying that employees, patients and the local community also matter. She announces a low-cost medicine range for rural patients and a plan to report on people, planet and profit.

26. Reporting on 'people, planet and profit' is known as:
A. The Marketing Mix
B. The Triple Bottom Line
C. The Five Forces
D. The Balanced Scorecard

27. For a code of ethics to be effective, it should be
A. Kept confidential
B. Applied only to junior staff
C. Communicated, enforced and reviewed regularly
D. Changed daily

> **Case:** GadgetHub's Take-Back Scheme: GadgetHub collects old phones and chargers from customers and sends them for safe recycling, in line with rules requiring producers to manage the waste from their products. The company says this protects the environment and helps it comply with the law.

28. Besides compliance, a likely benefit to GadgetHub is:
A. Immunity from all laws
B. A monopoly in electronics
C. A better reputation among environmentally conscious customers
D. Zero costs

29. Which set contains only micro environment elements?
A. Inflation, GDP, taxes
B. Customers, suppliers, competitors
C. Culture, religion, language
D. Technology, law, politics

30. Which of the following is NOT a role of government in business?
A. Regulatory role
B. Promotional role
C. Fixing daily production targets of private firms
D. Entrepreneurial role

31. A change in the party in power and its policies would be classified as a
A. Social factor
B. Political factor
C. Technological factor
D. Environmental factor

> **Case:** Anil's Overheating Phone: Anil buys a Rs. 40,000 phone through an online marketplace. After two weeks the phone overheats and catches fire, causing him minor burns. The seller refuses a refund and blames the manufacturer. Anil decides to take legal action under the consumer law in force.

32. The law under which Anil's complaint falls, including online purchases, is the:
A. Consumer Protection Act, 2019
B. Sale of Goods Act, 1930 only
C. Companies Act, 2013
D. Information Technology Act, 2000 only

33. Supplying quality goods at fair prices with honest information is a responsibility towards
A. Consumers
B. Shareholders
C. Competitors
D. Employees

34. The Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act was passed in

A. 2003
B. 2013
C. 1993
D. 2019

35. Foreign Direct Investment (FDI) means
A. Investment by a foreign entity in a business with lasting interest and control
B. Short-term investment in shares only
C. Aid given by a foreign government
D. Borrowing from the IMF

36. Business environment differs from country to country and even from firm to firm. This feature is called
A. Relativity
B. Totality
C. Certainty
D. Uniformity

37. The value system of promoters influences
A. The RBI repo rate
B. The weather
C. The exchange rate
D. The firm's goals, decisions and ethical conduct

38. Paying less than the legal minimum wage is
A. Fair
B. Ethical
C. Unfair and illegal
D. Permissible by custom

39. The external environment of business is broadly divided into
A. Short-term and long-term environment
B. Micro (task) and macro (general) environment
C. Fixed and variable environment
D. Financial and non-financial environment

40. Insider trading violates
A. Only tax law
B. Only HR policy
C. No rule
D. Fairness and integrity in securities markets

41. After the 1991 reforms, the number of industries reserved exclusively for the public sector was
A. Increased sharply
B. Kept unchanged at 17
C. Reduced sharply
D. Raised to cover all industries

42. A firm's capacity to launch new products depends mainly on its
A. Competitors' prices
B. R&D and technological capability
C. Government budget
D. Weather conditions

> **Case:** Meridian Infotech: A Fraud Revealed: The chairman of Meridian Infotech admits that for years the company's profits were inflated and bank balances were falsified in its accounts. The case resembles the Satyam scandal of 2009. Investors lose heavily, and regulators tighten rules on boards and auditors.

43. The chairman's act is an example of:
A. Philanthropy
B. Corporate fraud through falsification of accounts
C. Insider tip-offs
D. Product innovation

> **Case:** TechNova Industrial Park: A state government sets up an industrial park offering land at subsidised rates, assured

power supply and a five-year tax holiday to new firms. It also enforces strict pollution norms on all units in the park. The park's water supply is run by a state-owned corporation, while most factories are privately owned.

44. Enforcing strict pollution norms reflects the government's role as a:

A. Promoter
B. Entrepreneur
C. Financier only
D. Regulator

Case: Industrial Planning in the 1950s: A researcher studying Indian industry in the 1950s finds that the state set up steel plants through public sector companies, required private firms to obtain licences under the Industries (Development and Regulation) Act, 1951, and followed Five-Year Plans. The Industrial Policy Resolution of 1956 divided industries into three schedules, and the Second Plan stressed heavy industry.

45. The requirement for private firms to obtain licences came from:

A. The Competition Act, 2002
B. The Industries (Development and Regulation) Act, 1951
C. FEMA, 1999
D. The Consumer Protection Act, 2019

46. A shareholder's key right is the right to

A. Manage daily operations
B. Fix product prices
C. Vote on important company matters
D. Appoint all employees

47. A visible labour market trend after reforms has been the rise of

A. Lifetime government jobs
B. Informal and contractual employment
C. Compulsory pensions for all
D. Closed shops

48. Designing products to become obsolete quickly so consumers buy again is called

A. Sustainable design
B. Circular design
C. Planned obsolescence
D. Eco-design

Case: Ravi and the Licence Raj: Before 1991, Ravi wanted to start a factory but had to obtain several government licences, and large firms faced limits on expansion under the MRTP Act, 1969. After 1991, licensing was abolished for most industries, and the MRTP Act was later replaced by a new law to promote competition.

49. The MRTP Act, 1969 was replaced by the:

A. Competition Act, 2002
B. FEMA, 1999
C. Consumer Protection Act, 2019
D. SEBI Act, 1992

50. A firm cannot control the interest rate set by the central bank. This shows that macro factors are

A. Fully controllable
B. Internal in nature
C. Uncontrollable by the firm
D. Negligible

Answer key - Set 5

1. **B**	11. **B**	21. **C**	31. **B**	41. **C**
2. **A**	12. **D**	22. **D**	32. **A**	42. **B**
3. **D**	13. **B**	23. **B**	33. **A**	43. **B**
4. **A**	14. **D**	24. **D**	34. **B**	44. **D**
5. **A**	15. **D**	25. **D**	35. **A**	45. **B**
6. **D**	16. **D**	26. **B**	36. **A**	46. **C**
7. **B**	17. **A**	27. **C**	37. **D**	47. **B**
8. **D**	18. **A**	28. **C**	38. **C**	48. **C**
9. **D**	19. **C**	29. **B**	39. **B**	49. **A**
10. **B**	20. **A**	30. **C**	40. **D**	50. **C**

Answers with explanations

1. World Consumer Rights Day is observed on

Answer: B. 15 March

Why correct: World Consumer Rights Day is 15 March.

A is wrong: 24 December is National Consumer Day.

C is wrong: 1 May is Labour Day.

D is wrong: 5 June is Environment Day.

2. Extended Producer Responsibility makes producers responsible for

Answer: A. Collecting and safely disposing of post-consumer waste

Why correct: EPR makes producers collect and safely dispose of post-consumer waste.

B is wrong: Paying employees is not EPR.

C is wrong: Filing tax is not EPR.

D is wrong: Advertising is not EPR.

3. Replacing single-use plastic packaging with biodegradable material reflects

Answer: D. Environmental sustainability

Why correct: Biodegradable packaging in place of single-use plastic supports environmental sustainability.

A is wrong: It is more than a cost increase.

B is wrong: It is real action, not a gimmick.

C is wrong: It is compliance, not evasion.

4. Country Z is best described as a:

Answer: A. Mixed economy

Why correct: Public and private enterprises side by side with regulation is a mixed economy.

B is wrong: Capitalism has little state role.

C is wrong: Socialism has no private firms.

D is wrong: A traditional economy follows custom.

5. Which proposal is eligible as a CSR activity under Schedule VII?

Answer: A. Funding a rural drinking water project

Why correct: A rural drinking water project is a Schedule VII activity.

B is wrong: Donations to political parties are barred.

C is wrong: A festival bonus is an employee benefit.

D is wrong: Advertising its own steel is not CSR.

6. The body that formulated the Five-Year Plans until 2014 was the:

Answer: D. Planning Commission

Why correct: The Planning Commission made the Five-Year Plans until 2014.

A is wrong: NITI Aayog replaced it in 2015.

B is wrong: SEBI regulates securities.

C is wrong: The Election Commission runs elections.

7. Discharging untreated effluents into a river most directly violates the:

Answer: B. Water (Prevention and Control of Pollution) Act, 1974

Why correct: Dumping effluents into a river violates the Water Act, 1974.

A is wrong: The Sale of Goods Act is about sales.

C is wrong: The Competition Act is about markets.

D is wrong: The Payment of Bonus Act is about bonuses.

8. Manager B's reasoning follows:

Answer: D. Kantian (deontological) ethics

Why correct: 'Harming people is wrong whatever the outcome' is Kantian (deontological) ethics.

A is wrong: Utilitarianism looks at outcomes.

B is wrong: Virtue ethics looks at character.

C is wrong: Cost-benefit analysis looks at outcomes.

9. The package of reforms launched in 1991 is known as:

Answer: D. LPG reforms (Liberalisation, Privatisation, Globalisation)

Why correct: The 1991 package is the LPG reforms.

A is wrong: The Green Revolution was farm technology.

B is wrong: The White Revolution was milk.

C is wrong: Operation Flood was dairy.

10. Illegal non-payment or under-payment of tax is called

Answer: B. Tax evasion

Why correct: Illegally not paying tax is tax evasion.

A is wrong: Tax avoidance is legal minimisation.

C is wrong: Tax planning is legal.

D is wrong: Tax saving is legal.

11. The paper wholesaler is part of the shop's:

Answer: B. Micro environment

Why correct: A wholesaler supplies the shop directly, so it is part of the micro environment.

A is wrong: It is not macro only.

C is wrong: It is not internal.

D is wrong: It is not natural.

12. The atomic energy undertaking remaining with the state is because:

Answer: D. Atomic energy continued to be reserved for the public sector

Why correct: Atomic energy remained reserved for the public sector.

A is wrong: Reservation is not due to losses.

B is wrong: Private firms may be interested.

C is wrong: The law does not ban all privatisation.

13. In 1962 US President John F. Kennedy declared the original ___ basic consumer rights.

Answer: B. Four

Why correct: Kennedy declared four basic rights in 1962.

A is wrong: Six is the Indian Act.

C is wrong: Eight is the UN list.

D is wrong: Ten is wrong.

14. Extended Producer Responsibility (EPR) makes producers responsible for

Answer: D. Collection and safe disposal of their products' post-consumer waste

Why correct: EPR makes producers responsible for collecting and safely disposing of post-consumer waste.

A is wrong: Wages are not covered.

B is wrong: Tax is not covered.

C is wrong: Advertising is not covered.

15. Internal environment factors are generally

Answer: D. Controllable by management

Why correct: Internal factors lie inside the firm, so management can control them.

A is wrong: They are not beyond control.

B is wrong: The government does not control internal matters.

C is wrong: Competitors do not control them.

16. Monetary policy in India is formulated by the

Answer: D. Reserve Bank of India

Why correct: The Reserve Bank of India formulates monetary policy.

A is wrong: SEBI regulates securities markets.

B is wrong: NITI Aayog is a planning think tank.

C is wrong: CCI regulates competition.

17. Which of the following is a voluntary consumer organisation in India?

Answer: A. Consumer Guidance Society of India

Why correct: The Consumer Guidance Society of India is a voluntary consumer organisation.

B is wrong: RBI is a government regulator.

C is wrong: CCI is a government regulator.

D is wrong: CPCB is a government board.

18. Greater private participation in education and healthcare after reforms has raised concerns about

Answer: A. Affordability for poorer sections

Why correct: Private participation raised concerns about affordability for the poor.

B is wrong: Free access did not become complete.

C is wrong: Private schools exist.

D is wrong: Hospitals did not close.

19. A key benefit of business ethics for a firm is

Answer: C. Improved reputation and customer trust

Why correct: Ethical conduct builds reputation and customer trust.

A is wrong: It cannot guarantee profit.

B is wrong: It does not exempt taxes.

D is wrong: It does not remove competition.

20. Refusing the offer would show the value of:

Answer: A. Integrity

Why correct: Refusing the offer shows integrity.

B is wrong: Profit maximisation is not the point.

C is wrong: Brand loyalty is unrelated.

D is wrong: Risk taking is unrelated.

21. The Copyright Act, 1957 protects

Answer: C. Original literary, artistic and musical works

Why correct: The Copyright Act protects original literary, artistic and musical works.

A is wrong: Inventions are patents.

B is wrong: Brand names are trademarks.

D is wrong: Company registration is under the Companies Act.

22. An auditor's report must be

Answer: D. Independent and truthful

Why correct: An auditor's report must be independent and truthful.

A is wrong: Management approval would remove independence.

B is wrong: It must go to shareholders.

C is wrong: Altering it is fraud.

23. Price-fixing cartels and predatory pricing are unfair because they

Answer: B. Harm competition and consumers

Why correct: Cartels and predatory pricing harm competition and consumers.

A is wrong: They do not help consumers.

C is wrong: They raise prices over time.

D is wrong: They do not improve quality.

24. Green marketing means

Answer: D. Promoting products on the basis of their environmental benefits

Why correct: Green marketing promotes products on their environmental benefits.

A is wrong: It is not selling vegetables.

B is wrong: It is not marketing in forests.

C is wrong: It is not about green paper.

25. Money earned through illegal activities or on which tax has not been paid is commonly called

Answer: D. Black money

Why correct: Illegal or untaxed money is called black money.

A is wrong: White money is declared and taxed.

B is wrong: 'Blue money' is not the term.

C is wrong: 'Green money' is not the term.

26. Reporting on 'people, planet and profit' is known as:

Answer: B. The Triple Bottom Line

Why correct: People, planet and profit is the Triple Bottom Line.

A is wrong: The marketing mix is 4Ps.

C is wrong: Five Forces analyses industry competition.

D is wrong: The Balanced Scorecard measures performance.

27. For a code of ethics to be effective, it should be

Answer: C. Communicated, enforced and reviewed regularly

Why correct: A code works when it is communicated, enforced and reviewed.

A is wrong: A confidential code is useless.

B is wrong: It must apply to everyone.

D is wrong: Changing it daily creates confusion.

28. Besides compliance, a likely benefit to GadgetHub is:

Answer: C. A better reputation among environmentally conscious customers

Why correct: A responsible image earns the loyalty of environmentally conscious customers.

A is wrong: There is no immunity from law.

B is wrong: There is no monopoly.

D is wrong: Programmes have costs.

29. Which set contains only micro environment elements?

Answer: B. Customers, suppliers, competitors

Why correct: Customers, suppliers and competitors deal directly with the firm.

A is wrong: Inflation, GDP and taxes are macro.

C is wrong: Culture, religion and language are macro.

D is wrong: Technology, law and politics are macro.

30. Which of the following is NOT a role of government in business?

Answer: C. Fixing daily production targets of private firms

Why correct: Government regulates and promotes but does not fix a private firm's daily production targets.

A is wrong: Regulatory is a real role.

B is wrong: Promotional is a real role.

D is wrong: Entrepreneurial is a real role.

31. A change in the party in power and its policies would be classified as a

Answer: B. Political factor

Why correct: A change of party and policy is a political factor.

A is wrong: Social is culture.

C is wrong: Technological is technology.

D is wrong: Environmental is nature.

32. The law under which Anil's complaint falls, including online purchases, is the:

Answer: A. Consumer Protection Act, 2019

Why correct: The Consumer Protection Act, 2019 covers online purchases.

B is wrong: The Sale of Goods Act alone is insufficient.

C is wrong: The Companies Act is irrelevant.

D is wrong: The IT Act alone does not cover this.

33. Supplying quality goods at fair prices with honest information is a responsibility towards

Answer: A. Consumers

Why correct: Quality goods at fair prices with honest information are a duty towards consumers.

B is wrong: Shareholders expect returns.

C is wrong: Competitors expect fair play.

D is wrong: Employees expect fair work.

34. The Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act was passed in

Answer: B. 2013

Why correct: The Sexual Harassment of Women at Workplace Act was passed in 2013.

A is wrong: 2003 is wrong.

C is wrong: 1993 is wrong.

D is wrong: 2019 is wrong.

35. Foreign Direct Investment (FDI) means

Answer: A. Investment by a foreign entity in a business with lasting interest and control

Why correct: FDI is investment with lasting interest and control.

B is wrong: Short-term share buying is portfolio.

C is wrong: Aid is government help.

D is wrong: IMF borrowing is a loan.

36. Business environment differs from country to country and even from firm to firm. This feature is called

Answer: A. Relativity

Why correct: Environment differs by country and firm, so its effect is relative to the firm.

B is wrong: Totality means all forces together.

C is wrong: Certainty is the opposite of its uncertain nature.

D is wrong: Uniformity would mean the same everywhere.

37. The value system of promoters influences

Answer: D. The firm's goals, decisions and ethical conduct

Why correct: Promoters' values shape goals, decisions and ethics.

A is wrong: The repo rate is set by the RBI.

B is wrong: Weather is natural.

C is wrong: Exchange rate is market-determined.

38. Paying less than the legal minimum wage is

Answer: C. Unfair and illegal

Why correct: Paying below minimum wage is unfair and illegal.

A is wrong: It is not fair.

B is wrong: It is not ethical.

D is wrong: Custom cannot make it legal.

39. The external environment of business is broadly divided into

Answer: B. Micro (task) and macro (general) environment

Why correct: The external environment is split into micro (task) and macro (general).

A is wrong: Time horizons do not describe environments.

C is wrong: Fixed/variable is not the standard split.

D is wrong: Financial/non-financial is not the standard split.

40. Insider trading violates

Answer: D. Fairness and integrity in securities markets

Why correct: Insider trading violates fairness and integrity in the securities market.

A is wrong: It is not only tax law.

B is wrong: It is not only HR policy.

C is wrong: It breaks rules.

41. After the 1991 reforms, the number of industries reserved exclusively for the public sector was

Answer: C. Reduced sharply

Why correct: After 1991 the number of industries reserved for the public sector fell sharply.

A is wrong: It was not increased.

B is wrong: It was not kept at 17.

D is wrong: It was not extended.

42. A firm's capacity to launch new products depends mainly on its

Answer: B. R&D and technological capability

Why correct: Launching new products depends on R&D and technological ability.

A is wrong: Competitors' prices are external.

C is wrong: Government budget is external.

D is wrong: Weather is natural.

43. The chairman's act is an example of:

Answer: B. Corporate fraud through falsification of accounts

Why correct: Inflating profits and falsifying balances is corporate fraud.

A is wrong: Philanthropy is charity.

C is wrong: Insider tip-offs are different.

D is wrong: Product innovation is positive.

44. Enforcing strict pollution norms reflects the government's role as a:

Answer: D. Regulator

Why correct: Enforcing pollution norms is regulation.

A is wrong: A promoter encourages.

B is wrong: An entrepreneur runs businesses.

C is wrong: A financier lends.

45. The requirement for private firms to obtain licences came from:

Answer: B. The Industries (Development and Regulation) Act, 1951

Why correct: The IDR Act, 1951 required private firms to obtain licences.

A is wrong: The Competition Act came in 2002.

C is wrong: FEMA came in 1999.

D is wrong: The Consumer Protection Act came later.

46. A shareholder's key right is the right to

Answer: C. Vote on important company matters

Why correct: A shareholder's key right is to vote on important company matters.

A is wrong: Daily operations are managed by executives.

B is wrong: Prices are set by management.

D is wrong: Employees are hired by management.

47. A visible labour market trend after reforms has been the rise of

Answer: B. Informal and contractual employment

Why correct: Informal and contractual jobs grew after reforms.

A is wrong: Lifetime government jobs fell.

C is wrong: Pensions for all did not become compulsory.

D is wrong: Closed shops are not the trend.

48. Designing products to become obsolete quickly so consumers buy again is called

Answer: C. Planned obsolescence

Why correct: Designing products to become obsolete quickly is planned obsolescence.

A is wrong: Sustainable design lasts.

B is wrong: Circular design reuses.

D is wrong: Eco-design reduces impact.

49. The MRTP Act, 1969 was replaced by the:

Answer: A. Competition Act, 2002

Why correct: The Competition Act, 2002 replaced the MRTP Act, 1969.

B is wrong: FEMA replaced FERA.

C is wrong: The Consumer Protection Act is separate.

D is wrong: The SEBI Act deals with securities.

50. A firm cannot control the interest rate set by the central bank. This shows that macro factors are

Answer: C. Uncontrollable by the firm

Why correct: The central bank's rate is outside the firm's control: macro factors are uncontrollable.

A is wrong: They are not controllable.

B is wrong: They are external, not internal.

D is wrong: They are not negligible.